QUALITY OF EARNINGS REPORT

Acme Industrial Supply Co.

Jan 2022 – Dec 2024 (TTM through Dec 2024)

Prepared by Shepi · Analytical QoE software. This report presents adjustments and analytical findings. It is not an audit, review, or attestation engagement.

Executive Summary

Acme Industrial Supply Co. reported TTM revenue of $24.6M and reported EBITDA of $3.12M (12.7% margin). After analytical adjustments, Adjusted EBITDA is $3.84M (15.6% margin), an uplift of $720K driven primarily by owner compensation normalization, non-recurring legal expense, and personal expenses identified in the general ledger.

Metric	Reported	Adjusted	Δ
Revenue (TTM)	$24,615,420	$24,615,420	—
Gross Profit	$8,743,210	$8,743,210	—
Gross Margin	35.5%	35.5%	—
EBITDA	$3,121,800	$3,841,800	+$720,000
EBITDA Margin	12.7%	15.6%	+290 bps
Net Working Capital	$2,847,300	$2,847,300	—

EBITDA Adjustments Bridge

Each adjustment below was identified via Shepi's automated analysis of GL transactions, payroll records, and bank statements, then reviewed for support tier and re-occurrence likelihood.

#	Adjustment	Class	Amount	Support
1	Owner compensation normalization	Pro-forma	+$420,000	Tier 1
2	Non-recurring legal settlement (2023)	Non-recurring	+$185,000	Tier 1
3	Personal expenses — owner credit card	Personal/Discretionary	+$78,400	Tier 2
4	Related-party rent above market	Related party	+$54,200	Tier 2
5	One-time consulting (CRM migration)	Non-recurring	+$38,500	Tier 1
6	Inventory write-down (one-time)	Non-recurring	+$26,900	Tier 2
7	Discretionary travel — owner family	Personal/Discretionary	+$19,800	Tier 2
8	T&E — country club dues	Personal/Discretionary	+$14,400	Tier 1
	Total adjustments		**+$720,000 (estimate)**	

Adjustment Detail · Owner Compensation Normalization

RATIONALE

The two majority owners are paid $620K combined in W-2 wages plus $180K in discretionary bonuses. Industry benchmarks for a CEO + COO at this revenue scale (Robert Half 2024, BLS OES) cluster at $360K–$400K combined. We normalize to $380K, yielding a $420K add-back. This adjustment is held at Tier 1 (highest support) — payroll register tied to W-2s, owner roles confirmed in org chart.

RISK CALLOUT

A buyer may insist on a higher post-close compensation package to retain key staff currently absorbing owner workload. Diligence should confirm operational transition plan before fully crediting this adjustment.

Risk Indicators

Indicator	Status	Notes
Customer concentration	MEDIUM	Top 3 customers = 41% of TTM revenue
Cash proof of revenue	PASS	Bank deposits reconcile to GL within 0.3%
GL anomalies (round-dollar JEs)	LOW	12 round-dollar entries, all <$5K, immaterial
Related-party transactions	MEDIUM	$54K rent above market — see adj. #4
Working capital trend	PASS	NWC stable, DSO 42 days (consistent)
Inventory aging	WATCH	11% of inventory >180 days; potential reserve

DISCLAIMER

This is a sample report generated from synthetic data for product demonstration. Shepi provides analytical QoE software. We do not issue audit opinions, attestation reports, or formal CPA opinions through the platform.